

CREDIT GROWTH WAS STABLE, AND NPAs, ESPECIALLY IN PSBs, WERE AT MULTI-YEAR LOWS

growing economies. India's neutral position towards geopolitical tensions has shielded it from adverse effects, say experts. Yet, Indian companies are susceptible to supply chain disruptions because of import dependence.

"The ban on export of rare earth magnets by China has made our auto companies anxious. The only way to mitigate supply chain issues is to diversify your suppliers and encourage domestic production of such input factors, and this takes years to fructify," says Ashwin Patni, head of wealth management solutions at Julius Baer India

Despite the geopolitical uncertainties, Indian companies managed to hold their ground. "The balance sheet of

India Inc. is in the pink of health following the deleveraging of the last several years. Cost of capital has declined thanks to the dovish monetary policy of the central bank which, in turn, has been facilitated by declining CPI (consumer price index) inflation," says VK Vijayakumar, Chief Investment Strategist, Geojit Financial Services.

According to data from ICRA, credit growth in the banking sector remained stable, and non-performing assets (NPAs), especially in public sector banks, were at multi-year lows.

PROFITABILITY AND SALES

Net profit of India Inc continued to grow in double digits despite muted top-line growth. The consolidated bottom line of listed companies grew 10% in the previous financial year compared with 28% and 13% in FY24 and FY23, respectively. The net profit of Nifty 50 companies grew 10% in FY25 as against 23% in the previous financial year.

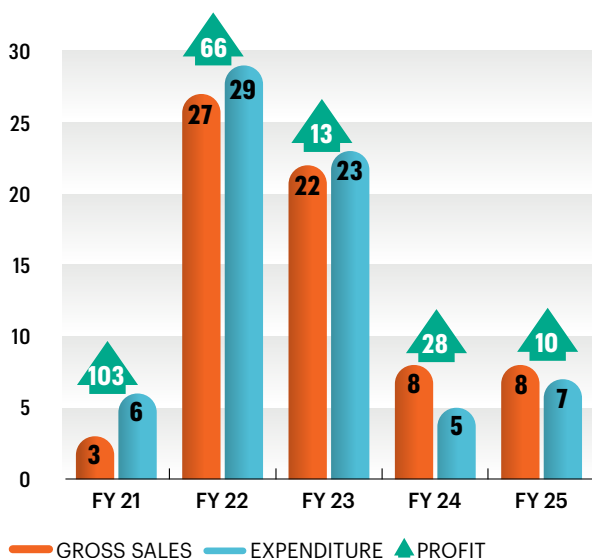
Neeraj Chadawar, Head of Fundamental and Quantitative Research, Axis Securities, says the earnings would have been far better but for several factors: a mild slowdown in government capex (due to general elections), weaker urban consumption, tighter liquidity and inflation concerns. However, steps by the Reserve Bank of India (RBI), such as reduction in the repo rate by 100 basis points since February 2025, and policy measures by the government, are expected to help the companies this year. "In FY26, we expect earnings growth of up to 12% for Nifty50 companies," he says.

But one area that reflects the cautious mood of corporate India is top-line growth. FY25 was the second straight year of single-digit sales growth, 7.7%, compared to 8% in FY24. Analysts attribute this to structural and cyclical challenges.

"Weak rural and urban demand weighed on fast-moving consumer goods (FMCG) and discretionary consumption players. Export-oriented sectors faced headwinds from global slowdown, destocking and geopolitical tensions. Commodity-linked sectors like metals and chemicals saw their revenue hit by falling prices despite volumes," says Ajit Mishra,

A HEALTH CHECK

▶ India Inc reported double-digit growth in profit in FY25 due to controlled costs



NOTE FIGURES SHOW GROWTH IN %

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